



International Islamic University Chittagong

Faculty of Shari'ah & Islamic Studies

Part A: Fundamental Information about this Course

Course Title: Money and Banking in Islamic Perspective	النقود والبنوك في رؤية الإسلام
Course Code: ECE-2402	Course Type: Economics
Credit Hours: 3 (Three)	Contact Hours: 3 (Three)
Pre-Requisite of this Course: Principles of Islamic Economics	Code of that course: N/A
Next Course: ECE-3503	Semester: Fourth
Program: B.A. (Hon's)	

Course Assessments	CIE: Continuous Internal Evaluation	Attendance	10 Marks
		Class test/ Assignment/ Quizzes	10 Marks
		Midterm	30 Marks
	SFE: Semester Final Examination		50 Marks

Part B: Course Objectives

This course will serve students with a basic understanding of the concept and principles of Islamic finance and banking. The other objective of this course is to understand the principles of money and banking in an Islamic perspective. To introduces conventional and Islamic banking system. To enable students to understand how Islamic Finance and Banking may be adopted and exercised in all economic aspects of life. The basic premise of this course is that the study of Islamic Finance and Banking proceeds from the Islamic worldview.

Part C: Course Learning Outcomes (CLOs)

S/N	Course Outcomes (CLOs): Upon the successful completion of the course, students will be able to	Corresponding PLOs	Bloom's taxonomy domain/level
CLO-1	Explain the major ideas about money and banking from conventional and Islamic perspectives. concept of money-definition and functions of money, characteristics of money, different forms of money, types of money and barter system, the basic concept of value of money and its determination and measurements.	PLO-1 & PLO-2	Cognitive/ Understanding
CLO-2	Students also realize the matters of price measurement of the consumer goods, the value of money definition, factors affecting value of money, Fisher's Quantity Theory of Money, and role of money in the economic development of a country. Inflation- definition, types,	PLO-3	Cognitive/ Remembering

	causes of inflation, impact of inflation, measures to control inflation deflation- definition, causes and policies.		
CLO-3	Explain the conventional and Islamic commercial banking: definition, functions, principles, credit creation methods, structure, role and importance of conventional commercial banking in Bangladesh. Problems and policy implications. Emergence of Islamic Banks, definitions, functions, Objectives, distinguishing features of Islamic banks etc.	PLO-1 & PLO-4	Cognitive/ Applying
CLO-4	Define and understand about conventional and Islamic financial system and its implications for the development of the financial sector of Bangladesh. To realize the money and capital market on the basis of conventional and Islamic perspective.	PLO-2 & PLO-4	Cognitive/ Remembering
CLO-5	To understand about Central banking and its framework from conventional and Islamic perspective. Explain the concept of monetary policy from conventional perspective and an Islamic perspective.	PLO-1	Cognitive/ Analyzing
CLO-6	To understand about the different theory and practices of Islamic banking and its operations from the Bangladesh economic perspective. Elucidate the concept of conventional and Islamic insurance and its applications for the development of the economy of Bangladesh.	PLO-2	Cognitive/ Understanding

Part D: Mapping of Course Outcomes to Program Outcomes

	PLO1	PLO2	PLO3	PLO4	PLO5	PLO6
CLO1	3	3	2		3	1
CLO2			3			
CLO3	3			3		1
CLO4		3		3		
CLO5	3					
CLO6		3				

Part E: The Course Contents

Sl No	COURSE CONTENT	Hrs	COs
Section-A (Mid-term: 30 Marks)			

01	Chapter -01: The Nature and Significance of Money from conventional and Islamic Perspectives: Barter system, difficulties of barter system, evolution of money. Concepts of money-definition and functions of money, characteristics of money, different forms of money, types of money. Bit coin, crypto currency.	6	CLO-1, CLO-2
	Chapter -02: The Value of Money and its Measurement and Determination: Value of money-definition, factors affecting value of money, Fisher's Quantity Theory of Money, and role of money in the economic development of a country. The nature & significance of money in Islam: An Analysis. Inflation- definition, types, causes of inflation, impact of inflation, measures to control inflation deflation- definition, causes and policies. Demand for money and supply of money.	6	CLO-3
02	Chapter 03: Financial System from Conventional and Islamic Perspectives: Concept financial system, importance, objectives of financial system, financial assets, structure of financial system: an analysis. Concept of Islamic financial system, differences with conventional financial system, principles, requirement for successful financial system in Islam and challenges. Mechanism of Islamic financial system, Riba and PLS system.	6	CLO-3
Section-B (SFE-50 Marks)			
03	Chapter-04: Money Market and Capital Market in Conventional and Islamic perspectives: Concepts of money market and capital market, functions, components, differences, problems and prospects. An overview of DSE and CSE. Chapter-05: Conventional Commercial Banking: Definition, functions, principles, credit creation methods, structure, role and importance of conventional commercial banking in Bangladesh. Problems and policy implications. Chapter-06: Islamic Banking Systems and Operations of Bangladesh: Emergence of Islamic Banks, Origin and historical background of establishing Islamic banking in Bangladesh. Definitions, functions, Objectives, distinguishing features of Islamic banks, Difference between Islamic banks and conventional banks. Operational techniques, deposit mobilization process, project selection criteria, discounting techniques, foreign exchange operations, Khidmah credit, L/C opening, Problems and policy implications.	15	CLO-4 CLO-5
04	Chapter 07: Central Banking in an Islamic Framework: Definition, types, objectives & principles of monetary policy in Islam. Instruments of monetary policy in Islam. Problems		

	and policy implications. Concepts, functions, principles, roles & credit control methods of central bank of Bangladesh, Islamic Development Bank (IDB): An Analysis	6	CLO-5
05	Chapter 08: Islamic Insurance (TAKAFUL): Definition, types, importance, differences with Conventional insurance, Problems of conventional insurance, Application of Al <i>Mudarabah</i> in Islamic insurance. Islamic insurance in Bangladesh: Functions, modes, problems and prospects.	6	CLO-6

Part F: Text & References

1. Text Book on Islamic Banking; conference proceedings by IERB;
2. Mannan, M. A. (1984), the making of Islamic economic society;
3. Sayyid Tahir, Aidit Ghazali, Syed Omar Syed Agil (1992), Readings on Microeconomics: An Islamic Perspective, Petaling Jaya: Longman Malaysia;
4. Chaudhry, Muhammad Sharif (2003), Fundamentals of Islamic Economic System, 1st edition, Burhan Education and Welfare Trust, 198-N Samanabad, Lahore, Pakistan;
5. Journal: journal of Islamic economics finance and banking published by IBTRA;
6. The Journal of Islamic Economics by International Islamic University, Malaysia.

Part G: Course Assessment Pattern (Theoretical Courses)

Bloom's Category		Evaluations out of 100 marks				Remarks
		CIE (50 marks)			SEE (50marks)	
Cognitive learning	Affective Learning	Mid-term: (30)	Assignment/ Class Test: (10)	Attendance Marks (:10)	Written Exam: (50)	Course teachers may change the magnitude of marks in Bloom's category(Both for CIE and SEE), but he/she will have to keep in mind that the % of higher order learning mode must be about 60% or more and all the Bloom's categories to be addressed during the Semester.
Remember	-	5	-	-	5	
Understand	-	-	5	-	10	
Apply	-	5	-	-	05	
Analyze	-	5	-	-	10	
Evaluation	-	10	5	-	15	
Create	-	5	-	-	05	
x	Responding	x	x	10		

Note: CIE=Continuous Internal Evaluation SFE= Semester Final Examination.

A. Delivery methods & activities: Lecture, White Board Writing, Questions and Answers, Discussions Power point Presentation,

B. Assessment tools: Class Attendance, Class test, Quizzes/ Assignment, Mid-Term, Final Exam and Viva.

THE END

